

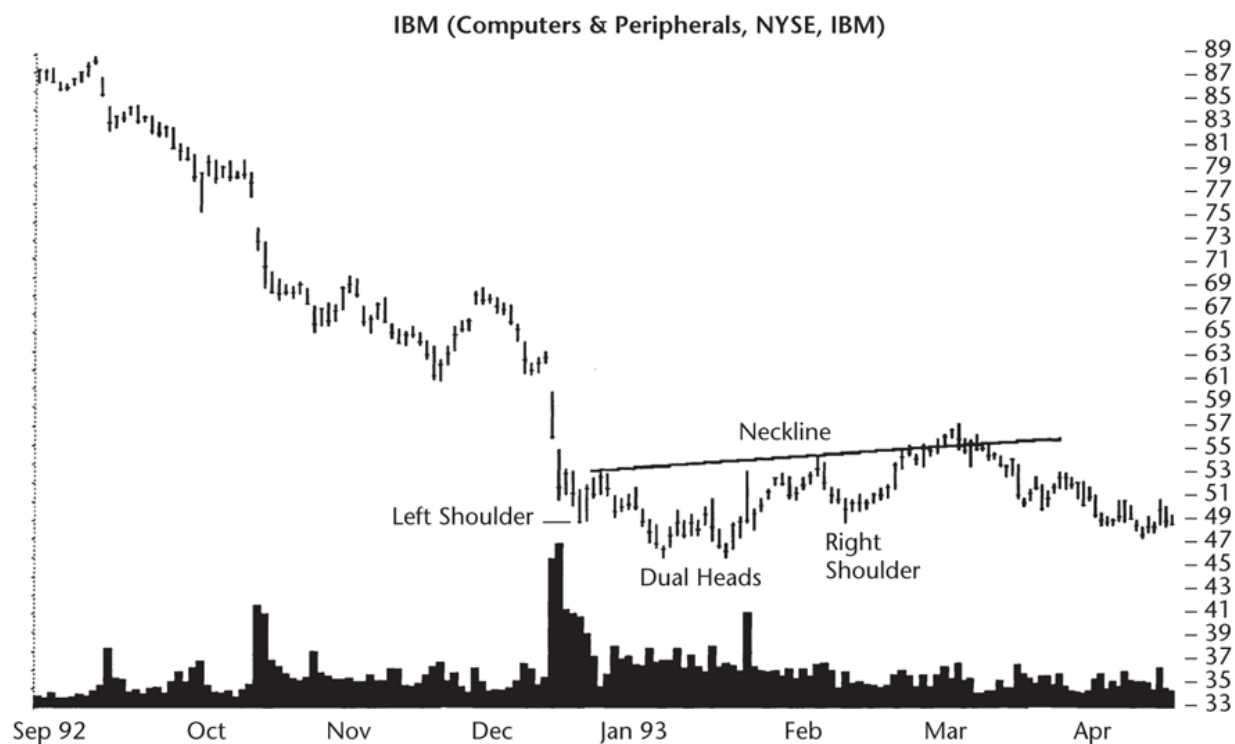


Figure 40.4 A failure of the complex head-and-shoulders pattern to climb more than 5% after an upward breakout. Just 7% of the formations fail in this manner (bull market only).

I found no reliable clues that would indicate an eventual failure of a complex head-and-shoulders bottom.

Statistics

Table 40.2 shows general statistics.

Number found. I found 1,196 patterns in 667 stocks starting from July 1991 to October 2019. Not all stocks covered the entire period, and some no longer trade.

Reversal (R), continuation (C) occurrence. Complex bottoms have price dropping into the pattern and rising out of it, so all of them act as reversals.

Average rise. The average rise in bull markets is 47%, a good showing (which is why the pattern ranks as high as it does, 9 out of 39). In bear markets, when price breaks out upward, the move is like swimming against